Home Loan Guide - Overview

Sample Housing Finance Ltd. offers home loans for buying a ready flat or house, constructing a house, purchasing a plot, or renovating an existing home. This guide explains eligibility, charges, documents and the repayment process in simple language.

Loans are offered at a floating interest rate linked to the external benchmark rate, with a starting rate of 8.4% per annum for salaried applicants with a strong credit score.

- Loan amount: Rs. 5 lakh to Rs. 5 crore
- Maximum tenure: 30 years
- Processing fee: 0.45% of the loan amount plus GST
- Maximum financing: up to 80% of the property value

Eligibility Criteria

Applicants must be Indian residents or NRIs meeting the minimum age and income criteria. Salaried, self-employed professionals and self-employed business owners can apply individually or jointly.

Eligibility is assessed on income stability, existing obligations, credit history and the value and legal status of the property.

- Minimum age: 21 years at the time of application
- Maximum age at maturity: 65 (salaried) / 70 (self-employed)
- Minimum monthly income: Rs. 30,000
- Minimum credit score: 690
- Work experience: 1 year (salaried), 3 years in business

Interest Rates and Charges

The interest rate depends on your credit score. The table below shows the indicative yearly rate and other applicable charges. Rates are reviewed each quarter and linked to the benchmark rate.

A late payment charge of 2.5% per month is levied on overdue EMIs. Prepayment on floating-rate loans taken by individuals attracts no penalty.

Credit score	Interest rate (p.a.)	Processing fee
750 and above	8.40%	0.45% + GST
700 - 749	8.80%	0.45% + GST
650 - 699	9.30%	0.45% + GST
Below 650	10.00%	0.70% + GST

Documents Required

Please submit self-attested copies of the documents listed below. Originals may be requested for verification at the branch.

- Identity proof: Aadhaar, PAN card, passport
- Address proof: utility bill, rent agreement, passport
- Income proof: last 2 salary slips, Form 16 and 6 months' bank statements
- Self-employed: 3 years' ITR with computation of income, P&L; and balance sheet
- Property papers: sale agreement, title deed, approved plan, NOC from society
- Passport-size photographs: 3 per applicant

Loan Amount, Tenure and EMI

The EMI depends on the loan amount, interest rate and tenure. The table below shows the monthly EMI at the starting rate of 8.4% per annum for popular loan amounts.

Longer tenures reduce the EMI but increase the total interest paid. Choose a tenure you can comfortably repay.

Loan (Rs. lakh)	10 years	15 years	20 years	30 years
20	Rs. 24,690	Rs. 19,578	Rs. 17,230	Rs. 15,237
40	Rs. 49,381	Rs. 39,155	Rs. 34,460	Rs. 30,474
60	Rs. 74,071	Rs. 58,733	Rs. 51,690	Rs. 45,710
80	Rs. 98,761	Rs. 78,311	Rs. 68,920	Rs. 60,947

Application Process

The process is simple and can be done online or at any branch. Our relationship manager will guide you through each step.

- Step 1: Fill in the application form and pay the login fee
- Step 2: Submit documents and complete KYC
- Step 3: Credit appraisal and income assessment
- Step 4: Legal and technical verification of the property
- Step 5: Sanction letter and acceptance by the applicant
- Step 6: Agreement signing and disbursement

Repayment and Prepayment

EMIs are collected on the 7th of every month through ECS/NACH mandate or post-dated cheques. You can change the EMI date once during the loan tenure.

You may prepay part or all of the loan at any time. Part-prepayments reduce either the EMI or the tenure, as per your choice.

- Minimum part-prepayment: three EMIs
- No prepayment penalty on floating-rate loans for individuals
- Foreclosure statement issued within 5 working days
- Title documents returned within 15 days of closure

Insurance and Security

The property financed is mortgaged to the lender as primary security until the loan is fully repaid. Comprehensive property insurance against fire and natural disasters is mandatory.

Optional life insurance linked to the loan protects your family from the repayment burden in case of an unforeseen event.

- Property insurance: mandatory, premium paid by borrower
- Loan protection plan: optional
- Mortgage created through registered or equitable mortgage
- Lender is noted as the first beneficiary on the policy

Tax Benefits

Home loan borrowers can claim deductions under the Income Tax Act, subject to the current rules and the tax regime chosen. Please consult a qualified tax advisor for your specific situation.

Deductions are generally available for interest paid on a self-occupied property and for principal repaid in the year, within the specified limits.

- Interest on a self-occupied property: deduction up to Rs. 2 lakh per year
- Principal repayment: deduction up to Rs. 1.5 lakh per year under the old regime
- Stamp duty and registration: eligible in the year of payment
- Joint borrowers can each claim their share

Terms, Declaration and Contacts

This document is for information only and does not constitute an offer or commitment. All loans are subject to credit approval, and the lender reserves the right to change rates, fees and terms with prior notice on the website.

The applicant confirms that all details and documents provided are true, correct and complete.

- Helpline: 1800-000-0000 (toll free)
- Email: homeloans@samplehousing.example
- Head office: Sample Housing Finance Ltd., Ahmedabad
- Grievance officer: available on the website